

HONEYWELL AEROSPACE INC HONA

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by natty813

			2026	2027
Price:	157.60	EPS	7.75	9.35
Shares Out. (in M):	317	P/E	20.3	16.8
Market Cap (in \$M):	50	P/FCF	19.96	18.5
Net Debt (in \$M):	15	EBIT	4	5
TEV (in \$M):	65	TEV/EBIT	14.7	13.2

Description

Honeywell Aerospace (HONA) offers an attractive buying opportunity for long-term investors. HONA was spun-off from Honeywell International on July 29th, 2026. While management claims they were assessing a break-up for years, the genesis of the split was pressure from Elliott Management who highlighted consistent underperformance of the firm and established a \$5 billion dollar position. Post-spin, Honeywell Aerospace is a \$49.7 billion market capitalization, \$64.4 billion enterprise value aerospace and defense supplier with key mission-critical content on commercial, defense and space platforms with strong OEM and aftermarket positions.

The investment thesis for Honeywell Aerospace is based on the following points:

1. **Honeywell Aerospace is an attractive absolute and relative value at the current price.** Currently HONA trades at 16.5x 2027 EPS, and 11.7x 2027 EBITDA. I am estimating free cash flow of \$2.7B, growing to approximately \$4.1B by 2030. The stock has traded poorly due to a "miss and cut" in the second quarter and now trades at a massive discount to peers.

Ticker	Company	Price	Market Cap	EV	EV/EBITDA			EV/SALES			PE			FCF Yield		
					2026	2027	2028	2026	2027	2028	2026	2027	2028	2026	2027	2028
RTX	RTX Corporation	\$197.68	\$267.0	\$299.3	18.5x	17.0x	15.9x	3.1x	2.9x	2.7x	27.3x	25.2x	22.8x	3.2%	3.9%	4.4%
GE	GE Aerospace	323.66	336.3	346.8	28.7x	25.5x	22.8x	6.9x	6.2x	5.7x	37.9x	33.4x	29.7x	2.7%	2.9%	3.2%
HWM	Howmet	229.61	90.9	95.0	29.2x	25.0x	21.8x	9.4x	8.3x	7.4x	43.1x	35.7x	30.1x	2.1%	2.5%	3.0%
TDG	Transdigm	1140.32	62.3	93.1	16.9x	15.3x	14.0x	8.9x	8.0x	7.5x	27.7x	23.6x	20.7x	3.6%	4.3%	5.0%
RR	Rolls Royce	19.32	163.2	160.4	21.4x	19.3x	17.3x	5.0x	4.5x	4.1x	33.3x	29.7x	26.1x	3.3%	3.9%	4.5%
SAF	Safran	435.01	154.8	153.8	20.2x	17.5x	15.7x	3.6x	3.3x	3.0x	36.0x	28.8x	25.4x	3.6%	4.0%	4.5%
AVERAGE					22.5x	19.9x	17.9x	6.2x	5.5x	5.1x	34.2x	29.4x	25.8x	3.1%	3.6%	4.1%
MEDIAN					20.8x	18.4x	16.6x	6.0x	5.4x	4.9x	34.6x	29.3x	25.7x	3.3%	3.9%	4.5%
HONA					13.7x	12.4x	11.3x	3.5x	3.3x	3.0x	20.3x	16.9x	15.0x	5.0%	5.4%	6.4%
DISCOUNT TO AVERAGE					-39.1%	-37.9%	-37.0%	-43.2%	-41.4%	-40.7%	-40.6%	-42.6%	-41.8%	63.4%	51.5%	56.3%
DISCOUNT TO MEDIAN					-34.2%	-32.7%	-32.0%	-41.4%	-39.5%	-38.6%	-41.3%	-42.4%	-41.7%	54.1%	39.6%	44.0%

Using 2027 estimates HONA trades at a 38% discount on EV/EBITDA, a 41% discount on EV/sales, a 43% discount on PE and offers a 52% premium on free cash flow yield. The differences in valuations and market capitalization are significant. I believe it is noteworthy that Chairman of the Board and former Eaton CEO Craig Arnold just made an open market purchase of \$1 million of stock.

2. **Honeywell Aerospace is a unique and valuable franchise with strategic long-term value.** HONA manufactures critical systems and technologies for OEMs, governments, aircraft operators and defense primes. Management asserts that their installed base includes systems on approximately 90% of the in-service aircraft fleet. From propulsion engines to air and thermal control systems to cockpit and flight data recorders, HONA has an extremely broad and complex product line. There are a multitude of reasons why aerospace suppliers are often considered great businesses and are major holdings of funds such as TCI. Barriers to entry are enormous from both a manufacturing and a regulatory perspective and new entrants are sparse. Recurring revenues are robust, as often planes are in service for 20-30 years. This tends to be reflected in healthy margins and strong cash conversion.
3. **Honeywell Aerospace is an orphaned security due to the recent spin-off of the business combined with a guidance cut in tandem with 2Q earnings.** HONA has fallen 28% since its spin-off from Honeywell. This is primarily due to missed expectations in the second quarter accompanied by a cut in 2026 organic sales growth to a range of 4-5% from a range of 7-9% and 2026 adjusted EBIT guidance was cut from a range of \$4.65B-\$4.75B to a range of \$4.35B-\$4.45B. Management pointed out supplier issues in the cut and noted that orders were up 8% year-over-year and demand was not an issue. Significant ink has been spilled on "market structure." The market is dominated by passive flows, pod shops and retail. HONA is too small to see a significant benefit from passive flows, pod shops are generally not interested in companies with near-term execution issues, and this is simply not enough of a "story-stock" for retail to have a significant interest. My bias is that if you are willing to buy the stock here with a multi-year holding period then a positive outcome is probable. If HONA management cannot execute, this is a company with value to both strategic and financial buyers.

Operations

Honeywell Aerospace is a leading provider of mission-critical systems for both aerospace and defense markets with over a 100-year history of innovation. Management notes that the company had crucial roles in the history of aerospace from the first autopilot in 1914 to the first auxiliary power units in the 1950s, to the first humans in space in the 1960s. Honeywell Aerospace generated \$17.4 billion in 2025 sales with \$4.3 billion in adjusted EBIT. The company has 36,000 employees with approximately 1/3 of these employees being engineers.

Honeywell Aerospace at a glance

Leading global aerospace supplier of mission critical systems and technologies

Broad exposure, leveraging technology across platforms



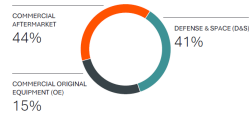
Scaled industry leader



Net sales by segment^{1,4}

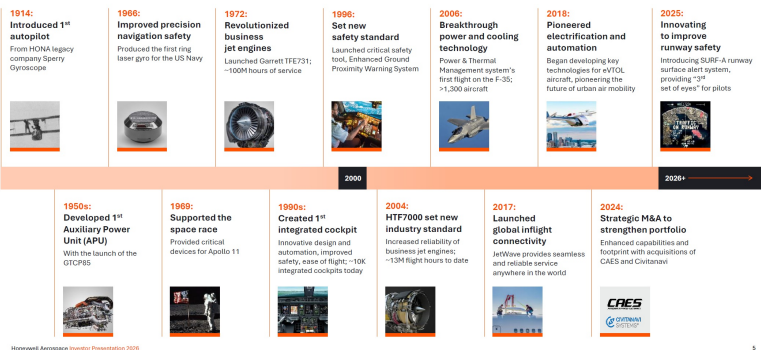


Net sales by end market^{1,4}



History of Honeywell Aerospace leadership

100+ years of continuous innovation across every major era of flight



HONA classifies their sales by both end-market as well as by business segment. By end-market, sales are 44% *Commercial Aftermarket*, 41% *Defense & Space*, and 15% *Commercial & Original Equipment*. Net sales by segment include *Electronic Solutions* (39% of 2025 revenues and 43% of EBIT), *Engine & Power Solutions* (31% of 2025 revenues and 23% of EBIT), and *Control Systems* (30% of 2025 revenues and 33% of EBIT). Below is a summary of each of the divisions:

Strong balance across three leading business segments

Marquee franchises on Commercial Air Transport, Business Aviation and Defense & Space

Electronic Solutions (ES)



Precise, resilient, mission critical electronics

- Avionics
- Navigation and sensors
- Electromagnetic defense
- Space

\$6.8B

FY25 sales

~90%

of global aircraft use HONA avionics and navigation systems¹

Engines & Power Systems (E&PS)



Reliable, efficient power for propulsion and electrical needs

- Engines
- Power systems

\$5.4B

FY25 sales

~47K

Auxiliary Power Units (APUs) in service today

Control Systems (CS)



Mission critical, efficient, thermal and motion control

- Air and thermal control
- Motion control

\$5.2B

FY25 sales

75%+

of commercial flights begin with CS engine start system

Electronic Solutions (ES) - Electronics Solutions is HONA's largest division with \$6.8 billion in 2025 sales and \$2 billion of EBIT. Areas of focus include Avionics, Navigation and Sensors, Electromagnetic Defense and Space. Management notes that 90% of global aircraft use their avionics and navigation systems. Primary Avionics products include the Primus EPIC flight deck systems, and flight management systems used across Airbus aircrafts. Key Navigation and Sensor products inertial measurement units for guidance and control and inertial navigating systems such as the Laseref IV. Example Electromagnetic Defensive Solutions and Space products include the TORNADO, a data convertor, as well as reaction wheel assemblies used in small satellite applications. Of note, ES end market sales are 54% commercial aftermarket, 24% defense and space and 15% commercial OE.

ES enables safer, smarter and mission-critical technologies

Diverse offering of solutions focused on cockpit safety, resilient navigation, human space flight, and electronic warfare

Avionics

Provider of choice for integrated avionics for ASD platforms

Navigation & Sensors

Supplies cockpit safety, connectivity, RF, and nav data for flight decks

Electromagnetic Defensive Solutions

Provides integrated, software-driven products that fuse sensors for accuracy

Space

Certified to the highest industry assurance levels and trusted by OEMs and operators

Agile and scalable electromagnetic control solutions across critical national security missions

Radiation-hardened systems with proven reliability and unmatched spaceflight heritage

Select key technologies

Integrated Avionics

Business Aviation, Defense & Space (helicopters)

Primus Epic 30+ years in service and remains a benchmark in integrated flight deck technology

Flight Management System (FMS)

Commercial Air Transport

Next generation FMS used across several Airbus aircraft including A320neo, A330, A350 and A380

Inertial Measurement Units

Defense & Space

High performance tactical-grade **HO1700 IMU** designed to meet the needs of a broad range of guidance and control applications

Inertial Navigation Systems

Commercial Air Transport, Business Aviation

Laserref VP is a fully certified IRU providing precision navigation through high performance inertial sensors and software integrated with GNSS

Defense Systems

Defense & Space

Signal Intelligence solutions with state-of-the-art **TORNADO**, a direct-to-digital data converter

Commercial Space

Defense & Space

Advancing state-of-the-art **reaction wheel assembly** for small satellite application

Engines & Power Systems (E&PS) – Engines & Power Systems generated \$5.4 billion in sales and \$1.1 billion in EBIT in 2025. E&PS is the leader in producing engines for mid-sized business jets and the leader for auxiliary power units that supply engine power and electrical power without an aircraft engine. Looking at specific engines, the HTF7000 is a leading commercial mid-sized commercial engine. The T55 is used in military helicopters for defense, and the F124 is used in drones and defense aircraft. Primarily auxiliary power units (APUs) include the 131 series which is used on narrowbody and widebody aircraft, the 36-150 APU used in defense aircraft and helicopters, and the 1-Megawatt Generator used in narrowbody, widebody and defense applications. 54% of E&PS sales are in defense and space end markets, 28% are commercial aftermarket and 18% are commercial OE.

E&PS portfolio powers reliable and efficient flight

Expertise in axial-centrifugal compressor technology and small engine architectures drives durable, competitive advantages

Engines: proven performance and power-to-cost efficiency

Advanced propulsion systems for Business Aviation and Defense

Leading positions on midsize and super-midsize business jets

Digitally enabled MRO ecosystem with end-to-end aftermarket support

Power Systems: industry leading reliability and efficiency

Balanced exposure to Commercial Air Transport, Defense and Business Aviation

Industry's largest and growing APU installed base

Integrated approach to supply chain and proprietary IP

Select key technologies

Commercial Turboprops

Business Aviation

HTF7000 is the super-midsize engine of choice with industry-leading reliability and low maintenance costs

Defense Turboshaft

Defense (helicopter, tank)

T55 fleet has flown >12M flight hours, powering military helicopters since 1960s

Defense Turboprops & Turboprops

Defense (drone, aircraft)

F124 has the highest thrust-to-weight ratio in its class and has logged >1M flight hours

Large APUs

Narrowbody, widebody

131 Series has become one of the most successful APUs with >100M hours of in-service use

Small APUs

Defense (aircraft, helicopter, business aviation)

36-150 APU family offers >20 different variations modified for specific military and commercial aircraft

Electric Power Systems

Narrowbody, widebody, defense

1-Megawatt Generator sets new industry standard for compact, continuous power and efficiency

Control Systems (CS) – Control Systems accounted for \$5.2 billion in sales and \$1.5B of EBIT in 2025. Management notes that they are at the “intersection of electronics, software, and mechanical hardware,” being used in everything from the climate and pressurization of the cabin to movement of wheels and brakes. HONA divides CS products into Air & Thermal Control and Motion Control Products. The Vapor Cycle Systems/Attune is a high density cooling system and HONA also manufactures cabin pressure control systems and air cycle systems. In Motion Control, lighting and brake systems such as the Assure Actuation System are leading products. HONA also manufactures Engine Start Systems that help jet engines idle and Braking Systems such as the Ceramtalix brakes. End market sales are 50% defense and space, 38% commercial aftermarket and 12% commercial OE.

CS advances flight, life support and safety

Proven capability to design complex systems that integrate electronics, software, and mechanical hardware across platforms

Air and Thermal Control

Leading provider of aircraft environmental, pressur, thermal and life support systems

Integrated, electrified designs managing higher temperatures with lower power and complexity

Scalable, connected systems configured to meet requirements across platforms

Motion Control

Leading systems in aircraft engine controls, lighting and braking systems

Reliable performance in compact, lightweight designs, that improve capacity and range

Upgradable motion control systems built for future actuation advances and designs

Select key technologies

High Density Cooling

Commercial Air Transport, Business Aviation, D&S

Vapor Cycle Systems/Attune™ eco-friendly cooling featuring high efficiency centrifugal compressors

Cabin Pressure Control Systems

Commercial Air Transport, Business Aviation, D&S

4th Generation Digital Cabin Pressure Control Systems smaller and ~30% lighter vs. prior-gen and “maintenance free”

Air Cycle Systems

Commercial Air Transport, Business Aviation, D&S

Advanced Air Management System monitors and controls cabin temperature, creating a safe, comfortable flying experience

Actuation Systems

Business Aviation, D&S

Assure™ offers high-precision, speed-responsive electromechanical systems designed for flight surface actuation

Engine Control Systems

Commercial Air Transport, D&S

Engine Start Systems bring jet engines to self-sustaining idle for normal combustion

Braking Systems

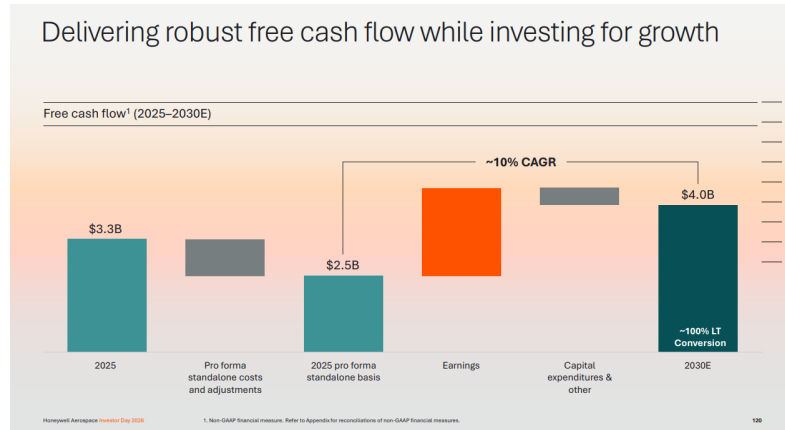
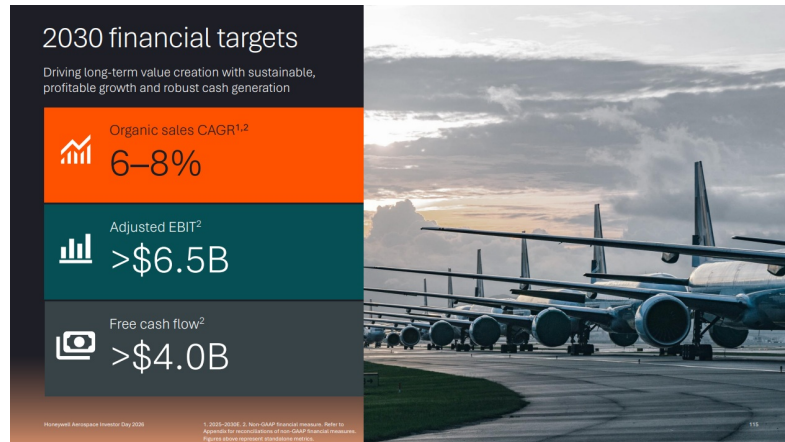
Commercial Air Transport, Defense

Ceramtalix Brakes are proven to reduce operating costs while improving performance and reliability

Financials

From 2026-2030 I am modeling sales to increase from \$18.2B to \$24.4B, EBIT to increase from \$4.4 to \$6.4B, EPS from \$7.75 to \$13.25 and FCF from a PF level of \$2.5 B to \$4.1B. The balance sheet is healthy with net debt of \$14.7B or approximately 3x expected 2026

EBITDA. I expect leverage to fall due to increased earnings. The company will initiate a small dividend and is looking at tuck-in acquisitions. Management has guided to 2030 financial targets of 6-8% organic sales growth, above \$6.5 billion in adjusted EBIT and greater than \$4 billion in free cash flow. Management blamed the recent miss on supply chain issues. They note they have 3,000 suppliers and that they are down to “about 70 that are critical and or constrained.” Further details are that of that 70, there are 10 that they would call “constrained” where they are not able to hit targets. Generally speaking, it is complex machining, castings, forgings and bearings. *Could HONA miss and guide down again?* I have no edge here, but management has been transparent recently regarding their issues.



Management

Jim Carrier is the CEO of Honeywell Aerospace and has been with the company for twenty years. He has been the CEO of the company, as a division since 2023. Prior to his current role, Carrier led the ES business unit. In past roles at HONA, Carrier managed the EMEA aftermarket organization, was the VP of airlines and also held other strategy, product & M&A roles. He joined the company from United Technologies where he worked on multiple rocket engine programs. Carrier has a degree in Mechanical Engineering from the University of Miami. Josh Jepsen is the CFO. He joined the company from John Deere, where he had served as the CFO since 2022. Jepsen had been at Deere for 18 years prior to joining HONA. He served as director of investor relations and other accounting positions. He holds a BA in accounting from the University of Northern Iowa and an MBA from the University of Michigan. With regards to management, they have a credibility problem. I do feel that they have been transparent since the earnings miss and at a minimum it is impressive that the company was able to poach Jepsen from Deere.

I do not hold a position with the issuer such as employment, directorship, or consultancy.

I and/or others I advise hold a material investment in the issuer's securities.

Catalyst

The primary catalyst is simply delivering on numbers. If the company can hit their guidance, then the discount to peers will narrow.

Messages

Subject Supply Chain issues
Entry 09/13/2026 04:48 PM
Member Siren81

What do you see as the cause of HONA's recent supply chain issues? Why is HONA underperforming peers here recently? How heavy of a lift is it to fix these?
 Thx...

Subject Re: Supply Chain issues
Entry 09/14/2026 11:12 AM
Member natty813

The management team claims that out of 3,000 suppliers they are down to approximately 70 that are struggling. My belief with regards to what happened relative to other competitors is that HONA has more single source suppliers. HONA decided in years past to cut some suppliers and consolidate in an attempt to both simplify the business as well as extract margins from suppliers to HONA's benefit. As the business has ramped, some are struggling.

I think this is a significant risk factor. Skilled labor and material shortages are difficult and none of this manufacturing is easy. My "hope" is that these issues are accounted for guidance but there is a risk that it is not. I do believe supplier issues will be sorted out by the end of 2026.

Natty

Subject Re: Re: Supply Chain issues
Entry 09/16/2026 08:50 AM
Member Siren81

Thx. Not involved, but would take the over on 'sorted out by the end of 2026.' Given how stressed A&D supply chains are with huge demand increases from commercial aero, space and defense... personally see a lot of alpha in A&D over the next 12 months but digging in and figuring out how much control different firm have over their supply chains